

# STRATUM CAPITAL BANK

## Enterprise Governance & Risk Framework

### Chapter 4 — Enterprise Credit Risk Assessment Framework

Version 1.0 | INTERNAL — RESTRICTED

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**INTERNAL DOCUMENT — NOT FOR CUSTOMER  
DISTRIBUTION**

*Prerequisites: Chapters 1, 2, and 3 must be read before this chapter.*

# Document Information

| Field          | Detail                                                                                     |
|----------------|--------------------------------------------------------------------------------------------|
| Document Title | Enterprise Governance & Risk Framework — Chapter 4                                         |
| Institution    | Stratum Capital Bank                                                                       |
| Version        | 1.0                                                                                        |
| Status         | Approved — Effective Immediately                                                           |
| Classification | Restricted — Internal Use Only                                                             |
| Depends On     | Chapters 1, 2, and 3 (prerequisite reading)                                                |
| Owner          | Office of the Chief Credit Officer & Credit Risk Management Department                     |
| Feeds Into     | Credit Risk Management Manual; Loan Policy Manual; Product Credit Policies                 |
| Review Cycle   | Annual or upon material change to credit policy, risk appetite, or regulatory requirements |

## Chapter 4 — Enterprise Credit Risk Assessment Framework

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### 4.1 Introduction

This chapter establishes the Enterprise Credit Risk Assessment Framework (ECRAF) of Stratum Capital Bank — the standardised, institution-wide methodology for evaluating the creditworthiness of all loan applicants across every product category and client segment served by the Bank.

The ECRAF defines the principles, assessment dimensions, procedural workflow, documentation standards, and quality assurance requirements that govern how credit risk is identified, measured, and responded to at the individual application level. It provides the operational foundation upon which the Bank's Credit Risk Management Manual, Loan Policy Manual, and all product-specific credit policies are built.

This chapter is designed to function both as an internal governance manual for credit staff and as a primary knowledge source for the Bank's Retrieval-Augmented Generation (RAG) system. All content is written in a form that supports accurate, policy-consistent retrieval by the Bank's AI Decision Support System when credit staff query the internal policy library.

**Policy Note:** *This chapter does not define numerical approval thresholds, product-specific credit limits, or pricing parameters. Those are defined in the Credit Risk Management Manual and the applicable Product Credit Policy. This chapter establishes the assessment philosophy, process, and standards that apply universally across all products and segments.*

### 4.2 Purpose of Credit Risk Assessment

The purpose of credit risk assessment within Stratum Capital Bank is to determine, through a structured, evidence-based, and professionally supervised process, whether a loan applicant has the willingness and capacity to fulfil their repayment obligations under a proposed credit facility — across a range of foreseeable conditions — without creating undue financial hardship for themselves or material credit risk for the Bank.

Credit risk assessment serves four institutional functions:

- **Borrower Protection** — Ensuring that credit is extended only where the borrower has a realistic and demonstrable capacity to repay, consistent with the Bank's Responsible Lending Principles established in Chapter 2.
- **Portfolio Integrity** — Ensuring that individual lending decisions contribute to a loan portfolio of consistent quality, appropriate diversification, and acceptable risk concentration, as defined in Chapter 2.
- **Institutional Soundness** — Ensuring that the aggregate credit risk assumed by the Bank remains within the risk appetite boundaries approved by the Board of Directors, as referenced in Chapter 2.
- **Regulatory Compliance** — Ensuring that the Bank's lending activities satisfy all applicable governance, documentation, and conduct standards, as maintained by the Compliance Department under the authority of Chapter 1.

Credit risk assessment is the primary point at which the Bank's lending philosophy is translated into individual credit decisions. The quality of that translation — the professional rigour, documentary completeness, and analytical integrity of each assessment — determines the quality of the Bank's loan portfolio over time.

### 4.3 Enterprise Credit Assessment Philosophy

Stratum Capital Bank's credit assessment philosophy is grounded in the principle that every applicant deserves an individuated, evidence-based, and professionally accountable assessment of their application — not a mechanical output of any single scoring system or automated model.

The assessment philosophy rests on five foundational convictions:

- Multi-dimensional evaluation is mandatory. No single factor — income, credit score, employment status, or AI prediction — is sufficient in isolation to determine the creditworthiness of an applicant. All material assessment dimensions must be evaluated and documented.
- Evidence supersedes assumption. Every material fact relied upon in a credit assessment must be supported by verifiable documentation. Credit assessments built on unverified declarations or plausible-seeming assumptions are governance failures, regardless of the outcome.
- Professional judgment is irreplaceable. The Bank's AI Decision Support System enhances the efficiency and analytical consistency of credit assessment. It does not replace the professional obligation of a qualified Credit Officer to exercise informed, documented, independent judgment on each application.
- Fairness is structural, not incidental. The assessment framework is designed to produce consistent, non-discriminatory outcomes across all applicant demographics, channels, and product types. Consistency of process is the primary mechanism through which fairness of outcome is achieved.
- Transparency enables accountability. The reasoning behind every credit decision must be documented with sufficient clarity to allow a qualified reviewer — including an Internal Auditor, a regulator, or a subsequent Credit Manager — to understand the basis for the decision and evaluate its quality.

**Policy Note:** *The assessment philosophy described in this section applies with equal force to all credit applications, regardless of size, product type, client segment, or the risk tier assigned by the AI Decision Support System. A low-value personal loan application requires the same standard of professional assessment as a large corporate credit facility. Scale affects the depth of required documentation; it does not affect the standard of required professionalism.*

## 4.4 Principles of Responsible Lending

The Responsible Lending Principles established in Chapter 2 are operationalised in this chapter at the individual assessment level. The following principles constitute binding obligations for all Credit Officers and Credit Analysts conducting assessments under this Framework:

- **Conservative Lending** — The Bank applies a conservative interpretation of applicant financial data, particularly where income sources are irregular, documentation is incomplete, or economic conditions are volatile. Where ranges of plausible interpretation exist, the more conservative estimate is applied in the affordability calculation.
- **Sustainability of Repayment** — A credit facility is assessed not only on whether the applicant can afford the first repayment, but on whether they can sustain repayment over the full term of the facility under a range of foreseeable adverse conditions, including income disruption, interest rate movement (where variable), and cost-of-living changes.
- **Fair Lending** — The assessment process applies identical substantive criteria to all applicants for equivalent products. Differential treatment on the basis of characteristics unrelated to creditworthiness is prohibited in all its forms, including subtle differences in documentation standards applied to different applicant populations.
- **Risk Diversification** — Individual credit assessment decisions are made with awareness of the Bank's portfolio composition, particularly sector and product concentration levels, as reported in the monthly Concentration Risk Report. This awareness does not override individual creditworthiness assessment but informs the overall risk posture applied to marginal cases.
- **Customer Affordability** — The affordability calculation reflects the applicant's total financial position, not only the facility under assessment. Facilities that are affordable in isolation but unaffordable in the context of total obligations are not approved on the basis of isolated affordability analysis.
- **Financial Sustainability** — The Bank does not approve credit to applicants whose financial profile indicates that the proposed facility, if approved, would leave them in an objectively unsustainable debt position, even if the applicant formally accepts the terms.
- **Long-Term Repayment Capacity** — The assessment process extends beyond the applicant's current financial position to consider their realistic financial trajectory over the term of the proposed facility, including foreseeable changes in employment status, income trajectory, and financial obligation profile.

## 4.5 Customer Financial Assessment

The Customer Financial Assessment is the core analytical component of the credit assessment process. It is a structured, multi-dimensional evaluation of the applicant's financial position, conducted by a qualified Credit Officer or Credit Analyst using verified documentation. The following table summarises the primary assessment dimensions and their evidential requirements:

| Assessment Dimension | Key Evaluation Components                                  | Evidence Sources                                          |
|----------------------|------------------------------------------------------------|-----------------------------------------------------------|
| Applicant Identity   | Legal identity; address history; fraud indicators          | Government-issued ID; address records; credit bureau      |
| Income               | Gross/net income; stability; source diversity              | Pay slips; tax records; bank statements; employer letters |
| Employment           | Tenure; sector stability; contract type; career trajectory | Employment contracts; HR confirmation; business records   |

| Assessment Dimension          | Key Evaluation Components                                   | Evidence Sources                                        |
|-------------------------------|-------------------------------------------------------------|---------------------------------------------------------|
| Credit History                | Repayment conduct; delinquency; account age                 | Credit bureau report; trade reference lines             |
| Existing Debt                 | Total obligations; Debt-to-Income Ratio; obligation profile | Credit bureau; bank statements; liability schedule      |
| Affordability                 | Residual income after obligations; stress capacity          | Income verification; cost-of-living benchmarks          |
| Loan Structure                | Purpose; amount; term; repayment alignment                  | Application form; supporting documentation; feasibility |
| Collateral (where applicable) | Asset type; current market value; enforceability            | Independent valuation; title documents; legal search    |
| Financial Behaviour           | Account conduct; savings pattern; overdraft usage           | Bank account statements; credit card records            |
| Financial Resilience          | Emergency reserves; income diversification; insurance       | Bank statements; asset schedule; declarations           |

#### 4.5.1 Applicant Identity Assessment

Identity verification is the mandatory first step in the customer financial assessment. The Bank must establish, with confidence proportionate to the size and risk of the proposed facility, that the applicant is who they represent themselves to be. Identity assessment covers: verification of legal name and date of birth against government-issued identity documents; confirmation of current and recent residential address against independent records; and screening against available fraud and financial crime indicators. Applications where identity cannot be satisfactorily established must be suspended and referred to the Compliance Department before any further assessment proceeds.

#### 4.5.2 Public Records and Adverse Information

The assessment must include a review of publicly available adverse information and formal records relevant to the applicant's creditworthiness. This includes prior bankruptcy filings, court judgments, tax liens, and any public record indicative of significant past financial distress or misconduct. Public record findings do not automatically disqualify an applicant but must be documented and specifically addressed in the credit assessment memorandum. The age, circumstances, and evidence of resolution of any adverse public record are material to the assessment.

### 4.6 Income Assessment

Income assessment establishes the primary repayment source for the proposed credit facility. It is the most critical dimension of the affordability analysis and must be conducted with rigour proportionate to the significance of income in the overall credit case. The Bank applies the following income assessment principles:

#### 4.6.1 Income Verification Standard

All income relied upon in the affordability calculation must be verified by documentary evidence from an acceptable source. Stated income without corroborating documentation is not an acceptable basis for

affordability assessment for any credit facility. The acceptability of specific documentation types is defined in the applicable Product Credit Policy.

- **Primary Employment Income** — Verified through recent payslips (minimum of the most recent three months), a current employer confirmation letter, and, where the facility size warrants, the most recent tax assessment or equivalent official income record.
- **Self-Employment and Business Income** — Verified through a minimum of two years of certified financial statements or tax assessments, supplemented by recent bank statements showing business cash flows. Single-year income documentation is accepted for smaller facilities only where specifically permitted by the applicable Product Credit Policy.
- **Rental and Investment Income** — Verified through executed tenancy agreements, bank statements confirming consistent receipt, and independent valuation of the relevant asset where its value is material to the assessment.
- **Other Income Sources** — All other income sources (including pension income, government transfers, alimony, and similar) are verified through the official documentation relevant to each source. Informal or undocumented income sources are excluded from the verified income calculation.

#### 4.6.2 Income Stability Assessment

Verification of income quantum is necessary but not sufficient. The assessment must also address income stability — the reasonable expectation that the income will continue at or near its current level throughout the repayment term. Indicators of income stability include: length of tenure in the current position or business; track record of consistent income over multiple assessment periods; absence of material income volatility; and the structural stability of the sector and employer or business in which the income is generated.

Where income instability is identified, the Credit Officer must document the nature and degree of the instability and apply an appropriate conservative adjustment to the income figure used in the affordability calculation. The basis for any adjustment must be recorded in the credit file.

#### 4.6.3 Income from Multiple Sources

Where an applicant's income is drawn from multiple sources, each source must be individually verified and stability-assessed. The aggregate verified income figure used in the affordability calculation reflects only those sources the assessing officer has successfully verified and assessed as stable. Sources that cannot be individually verified are excluded from the aggregate. The proportion of total verified income represented by any single source, and the risk of that source being disrupted, are explicitly noted in the assessment.

**Example — Multi-Source Income:** *An applicant presents primary employment income, a rental income from a single tenant property, and occasional freelance consulting income. The employment income is verified and stable. The rental income is verified but carries risk arising from potential vacancy. The freelance income is irregular and cannot be verified to a consistent level. The assessing officer verifies and includes the employment income at full value, applies a tenancy vacancy discount to the rental income, and excludes the freelance income from the affordability calculation. The rationale is documented in the credit file.*

## 4.7 Employment Assessment

Employment assessment evaluates the stability, permanence, and professional trajectory of the applicant's primary occupation or business activity as a forward-looking indicator of their ability to sustain repayments over the facility term. Employment assessment is conducted as a complement to income assessment; the two dimensions, while related, address distinct risks.

### 4.7.1 Employment Stability Indicators

The following factors constitute the primary indicators assessed under employment stability:

- **Length of Tenure** — The duration of the applicant's continuous employment with their current employer or continuous operation of their current business is a primary stability indicator. Applications from applicants in probationary periods or very recently established self-employed activities require heightened scrutiny and documentation.
- **Nature of Employment Contract** — Permanent employment contracts offer greater income predictability than fixed-term, casual, or zero-hours contracts. The nature of the applicant's contract is documented and factored into the income stability assessment.
- **Sector and Employer Stability** — The financial condition and operational stability of the applicant's employer sector are assessed in conjunction with the individual's employment tenure. Employment in a structurally declining sector, or with a single employer of questionable financial viability, represents an elevated income sustainability risk.
- **Career Trajectory** — Evidence of progressive career development, skill advancement, and consistent employment history over recent years provides a positive indicator of long-term income sustainability. Significant gaps in employment history, frequent employer changes without evidence of career progression, or patterns of sector-switching are documented and assessed for their implications for forward income stability.

### 4.7.2 Employment History Review

The employment history review covers a period appropriate to the size and term of the proposed facility, as specified in the applicable Product Credit Policy. The review must be documented with specific reference to: the nature and duration of each material employment relationship; any gaps in employment and their explanation; and the relationship between historical employment patterns and current employment stability indicators. Unexplained employment gaps of material duration are treated as indicators of potential income risk and must be specifically addressed in the credit file.

**Policy Note:** *Employment assessment does not make assumptions about an applicant's future career trajectory. The assessment is grounded in verifiable evidence of past and current employment conduct. Optimistic projections of income growth or career advancement provided by the applicant are not treated as verified income in the affordability calculation, irrespective of their plausibility.*

## 4.8 Credit History Assessment

Credit history assessment examines the applicant's track record of managing financial obligations over time. It is a direct behavioural indicator of the applicant's willingness to repay — distinct from the capacity measures established through income and employment assessment. Credit history is assessed through information obtained from the credit bureau and supplementary reference sources.

### 4.8.1 Credit Bureau Report Review

A current credit bureau report is obtained for all credit applications. The report is reviewed for the following material information:



- **Payment History** — The applicant's record of meeting scheduled payment obligations on all reported credit accounts, including any history of late payments, missed payments, or default events. The recency, severity, and frequency of adverse payment events are all material to the assessment.
- **Account Age and Diversity** — The age of the applicant's oldest credit accounts and the diversity of credit types successfully managed provide indicators of credit experience and management capability. A very thin or short credit history is not automatically adverse but increases assessment uncertainty and may require additional supporting documentation.
- **Delinquency and Default History** — Any record of formal default, debt collection activity, or account charge-off is assessed for its nature, recency, value, and evidence of resolution. Historical adverse events that have been fully resolved carry less forward risk significance than recent or unresolved delinquencies.
- **Revolving Credit Utilisation** — The ratio of outstanding revolving credit balances to available revolving credit limits is an indicator of credit dependency and financial stress risk. High utilisation rates across multiple revolving credit accounts are treated as an indicator of financial pressure, and the assessment documents the implications for the applicant's residual income and affordability position.
- **Enquiry History** — The number and recency of credit enquiries recorded against the applicant's credit file provide context for understanding their recent credit-seeking behaviour. A pattern of multiple recent credit applications across different lenders may indicate financial stress or a high level of concurrent credit activity.

#### 4.8.2 Previous Bankruptcies and Significant Adverse Events

Any record of personal insolvency, bankruptcy, formal debt restructuring, or equivalent significant adverse financial event is documented in full. The assessment addresses: the nature and circumstances of the event; the period elapsed since resolution; the evidence of financial rehabilitation since the event; and the relevance of the historical event to the current application. Such events do not constitute automatic disqualification but require specific documented analysis and, in most cases, elevation to Senior Credit Analyst review regardless of the AI-assigned risk tier.

#### 4.8.3 Mortgage and Secured Credit Obligations

Where the applicant holds existing mortgage or secured credit obligations, the credit history assessment specifically reviews the conduct of those accounts. Mortgage repayment conduct is a particularly significant indicator given the priority-ranking nature of mortgage obligations. Any instance of mortgage arrears, restructuring, or covenant breach is specifically noted and assessed for its implications for the current application.

**Example — Credit History with Prior Adverse Event:** *An applicant presents a credit bureau report showing a formal default five years ago that was subsequently settled in full and has since maintained a clean repayment record on all accounts for four years. The assessing officer documents the historical event, notes the full resolution, evidences the sustained post-resolution conduct improvement, and concludes that while the historical default is a factor in the risk assessment, the four-year post-resolution conduct record is a material positive indicator. The overall credit history assessment is documented in the credit file as adverse history with demonstrated rehabilitation. The file is elevated to Senior Credit Analyst review given the historic adverse event.*

## 4.9 Existing Debt Assessment

Existing debt assessment quantifies the totality of the applicant's current financial obligations and establishes the baseline against which the proposed additional facility's affordability is measured. This assessment must capture all material obligations — not only those disclosed by the applicant.

### 4.9.1 Total Obligation Profile

The Credit Officer constructs a complete obligation profile for the applicant incorporating: all repayment commitments reported on the credit bureau; instalment payments, lease obligations, and maintenance payments evidenced in bank statements; obligations disclosed by the applicant in the application form; and any other obligation that is reasonably discoverable from available documentation. Where the total obligation profile is incomplete due to limitations in available information, a conservative estimate of undisclosed obligations is incorporated into the affordability calculation. The basis for the estimate must be documented.

### 4.9.2 Debt-to-Income Ratio

The Debt-to-Income Ratio (DTI) is computed as the ratio of the applicant's total monthly debt obligations — including the proposed facility — to their total verified monthly gross income. DTI is a primary quantitative indicator in the affordability assessment, and the specific thresholds applicable to each product type are defined in the relevant Product Credit Policy. Where the computed DTI for an application approaches or exceeds the applicable threshold, the assessment must include a specific discussion of the mitigating factors, if any, that support the credit recommendation notwithstanding the elevated ratio.

The DTI calculation must account for obligations in the following categories:

- Mortgage and secured debt repayments (principal and interest).
- Personal and unsecured loan instalments.
- Revolving credit facility minimum monthly payments.
- Vehicle finance repayments.
- Hire purchase and instalment purchase commitments.
- Court-ordered payment obligations (maintenance, alimony, judgments).
- Any other material recurrent financial obligations.

**Policy Note:** *The proposed facility's projected monthly repayment is included in the DTI calculation from the outset. A DTI calculation that excludes the proposed facility's obligations does not satisfy the Bank's affordability assessment requirements.*

### 4.9.3 Quality of Existing Obligations

In addition to the quantum of existing obligations, the assessment considers the nature and quality of those obligations. Secured obligations backed by assets of enduring value carry different risk characteristics than unsecured consumer obligations. The concentration of obligations within a single creditor or product type, and the proximity of any existing obligation to its maturity date, are assessed for their implications for the applicant's forward financial position during the proposed facility's term.

## 4.10 Affordability Analysis

Affordability analysis integrates the findings of the income, employment, credit history, and existing debt assessments into a holistic determination of the applicant's capacity to service the proposed credit facility

sustainably. Affordability analysis is not a single metric — it is a structured professional judgment that considers multiple dimensions of the applicant's financial position simultaneously.

#### 4.10.1 Residual Income Calculation

The residual income calculation determines the verified monthly income remaining after all existing obligations and the proposed facility's repayment are deducted. Residual income provides a direct measure of the financial buffer available to the applicant for living expenses, unexpected costs, and contingency. The minimum acceptable residual income benchmark for each product category is defined in the applicable Product Credit Policy. Where residual income falls below the benchmark, the application requires Senior Credit Analyst review and documented justification for any approval recommendation.

#### 4.10.2 Stress Testing the Affordability Position

The affordability analysis must include a basic sensitivity assessment addressing how the applicant's ability to repay would be affected by foreseeable adverse changes in their financial position. For variable-rate facilities, the stress assessment must include the impact of a defined interest rate increase on the monthly repayment obligation. For facilities of longer duration, the assessment must consider the plausibility of the applicant sustaining their current income level and employment position across the repayment term. The nature and depth of stress testing required for each product type are specified in the applicable Product Credit Policy.

#### 4.10.3 Financial Resilience Assessment

Financial resilience refers to the applicant's capacity to absorb an adverse financial event — such as temporary income disruption, an unexpected large expense, or a period of reduced earning capacity — without defaulting on their facility obligations. Indicators of financial resilience assessed by the Credit Officer include: the existence and adequacy of accessible savings or liquid assets; the diversity of income sources; the availability of family or social support networks where documentarily evidenced and material; and the quality of existing credit management as evidenced by credit history. The financial resilience assessment is qualitative in nature and must be documented with reference to specific evidence from the application file.

**Example — Affordability Stress Scenario:** *A salaried applicant applies for a ten-year personal loan at a fixed rate. The income and existing obligation assessment establishes a comfortable residual income at current repayment levels. The Credit Officer conducts a stress assessment considering: a hypothetical three-month period of zero income following potential redundancy; the adequacy of the applicant's declared savings to sustain repayments during that period; and the applicant's eligibility for income protection insurance. The stress assessment concludes that the applicant has adequate liquid reserves and insurance eligibility to manage a short-term income disruption without defaulting. This conclusion is documented in the credit file and referenced in the affordability analysis.*

## 4.11 Loan Structure Assessment

Loan structure assessment evaluates whether the proposed credit facility — in terms of its purpose, amount, term, and repayment structure — is appropriate for the borrower's financial profile and the risk it represents to the Bank. A technically affordable facility may nonetheless have structural characteristics that introduce undue risk or are poorly matched to the borrower's actual financial needs.

### 4.11.1 Purpose of Borrowing

The stated purpose of the credit facility must be documented and assessed for plausibility, consistency with the applicant's financial profile, and alignment with the Bank's product guidelines. The Credit Officer is required to consider whether the declared purpose is consistent with: the facility amount requested; the applicant's income level and financial position; and the nature of the product applied for. Where the declared purpose appears implausible, inconsistent with the applicant's profile, or inconsistent with a legitimate credit need, the application must be escalated before further processing.

### 4.11.2 Loan Amount Assessment

The appropriateness of the loan amount is assessed relative to the applicant's verified financial position, the declared purpose, and the risk the amount represents within the Bank's portfolio context. A loan amount that significantly exceeds what is necessary or appropriate for the declared purpose warrants documentation and discussion in the credit file, even if the affordability analysis confirms the applicant's technical capacity to service the full amount.

### 4.11.3 Repayment Term Assessment

The proposed repayment term is assessed for its alignment with the nature and purpose of the facility, the useful life of any asset being financed, and the applicant's career and financial trajectory over the term. Extended repayment terms reduce periodic payment burden but increase the total cost of the facility and extend the Bank's exposure to changes in the borrower's financial circumstances. The appropriateness of the proposed term is explicitly documented in the credit file, and where an extended term is recommended relative to the Bank's standard terms for the product, the justification is documented.

### 4.11.4 Interest Rate Considerations

The Credit Officer considers the interest rate structure applicable to the facility — fixed or variable — in the context of the affordability assessment and the applicant's sensitivity to rate movements. Where a variable rate structure is proposed, the affordability stress assessment must include a rate-increase sensitivity as defined in the applicable Product Credit Policy. The Credit Officer does not advise the applicant on interest rate movements but ensures that the applicant's file reflects a clear-eyed assessment of the rate risk inherent in the proposed facility structure.

## 4.12 Financial Behaviour Indicators

Financial behaviour indicators are qualitative and pattern-based evidence from an applicant's transaction history and account conduct that inform the credit assessment beyond the quantitative metrics captured in income verification and credit bureau assessment. They provide insight into how the applicant actually manages their financial affairs on a day-to-day basis.

### 4.12.1 Bank Account Conduct Analysis

Bank statements submitted in support of the application are reviewed not only for income verification purposes but for evidence of financial conduct patterns. Indicators reviewed include: regularity and consistency of income receipts; evidence of systematic savings or investment behaviour; frequency and recency of overdraft usage; patterns of large or irregular outflows inconsistent with the applicant's stated financial position; and evidence of undisclosed financial obligations not captured in the credit bureau report. The bank statement review period required for each product type is defined in the applicable Product Credit Policy.

#### 4.12.2 Savings and Asset Behaviour

Evidence of consistent savings behaviour — regular contributions to savings accounts, investment portfolios, or retirement funds — is a positive financial behaviour indicator that is documented in the credit file. The existence and stability of accumulated assets, where material relative to the facility size, provides additional evidence of the applicant's financial discipline and resilience. Applicants who demonstrate a pattern of accumulating and preserving financial assets present a lower residual risk profile than those whose bank statements evidence persistent balance depletion or overdraft reliance.

#### 4.12.3 Inconsistency Flags

Where bank statement evidence is materially inconsistent with the applicant's declared financial position — including income levels, total obligations, or asset declarations — the inconsistency must be flagged and documented immediately. The Credit Officer is required to seek an explanation from the applicant and to document the explanation and its plausibility in the credit file. Where a satisfactory explanation cannot be obtained, or where the explanation raises further concerns, the application must be escalated to the Compliance Department before assessment proceeds.

**Policy Note:** Financial behaviour analysis is a supplementary assessment tool, not a substitute for verified documentation. Positive behavioural indicators do not offset inadequate income verification, and adverse behavioural signals do not override a strong verified income and employment profile. Both dimensions are documented and considered in the holistic credit assessment.

### 4.13 AI-Assisted Risk Assessment

The Bank's AI Decision Support System — comprising the Credit Risk Prediction Model, the Explainable AI Module, the RAG Policy Retrieval Engine, and the Decision Support Dashboard — provides quantitative and policy-based analytical assistance to Credit Officers during the credit assessment process. AI assistance enhances the consistency and analytical depth of credit assessment but does not alter the fundamental requirement for human professional judgment at every stage. The full AI governance framework applicable to these systems is established in Chapter 3.

| AI Component                  | Function in Credit Assessment                                            | Human Validation Requirement                                      |
|-------------------------------|--------------------------------------------------------------------------|-------------------------------------------------------------------|
| Credit Risk Prediction Model  | Generates PD estimate; assigns risk tier (Low/Medium/High)               | Officer must review output alongside full application file        |
| Explainable AI (XAI) Module   | Identifies top contributing risk factors; explains directional influence | Officer must assess consistency with qualitative file information |
| RAG Policy Retrieval Engine   | Retrieves applicable internal policy sections for the case type          | Officer must confirm policy applicability to individual case      |
| Decision Support Dashboard    | Consolidates all AI outputs into a unified review interface              | Officer completes review checklist within dashboard               |
| Internal Policy Search Engine | Enables full-text search of internal policy library                      | Officer interprets and applies search results to case facts       |

#### 4.13.1 Probability of Default Integration

The Probability of Default estimate produced by the Credit Risk Prediction Model is received by the Credit Officer as a quantitative risk indicator after the completion of Stage 4 (Financial Assessment) of the credit assessment workflow. The PD estimate reflects the model's assessment of default likelihood based on the application's verified input data. It is assigned to a risk tier — Low (0–35%), Medium (>35–50%), or High (>50%) — which determines the minimum process pathway as defined in Chapters 2 and 3. The Credit Officer is required to assess whether the PD estimate is consistent with the qualitative assessment developed through the financial, income, employment, and credit history assessment stages.

#### 4.13.2 Explainable AI Summary Assessment

The XAI Module's output — a plain-language summary of the primary factors contributing to the PD estimate — is reviewed by the Credit Officer in conjunction with the PD score. The XAI summary serves as a bridge between the model's quantitative output and the officer's qualitative understanding of the case. Where the XAI summary identifies primary risk factors that are consistent with the officer's own assessment, this consistency reinforces confidence in the model's assessment. Where the XAI summary identifies primary factors that do not appear significant in the officer's review of the file, this divergence must be documented and discussed in the credit assessment memorandum or review checklist.

#### 4.13.3 Policy Retrieval and Evidence-Based Assessment

The RAG Policy Retrieval Engine retrieves and presents the most relevant internal policy sections applicable to the application's characteristics and risk tier. These retrieved policy references provide the Credit Officer with immediate access to the authoritative policy guidance relevant to the case, reducing reliance on recall and increasing the consistency of policy application across officers and branches. The Credit Officer's obligation is to confirm the applicability of each retrieved policy section to the specific



facts of the case and to document in the credit file the policy provisions relied upon in the assessment and decision.

#### 4.13.4 AI Confidence Indicators and Override

The AI Decision Support System provides confidence indicators alongside its primary outputs, indicating the degree of certainty the model assigns to its PD estimate based on the quality and completeness of the input data. Low-confidence outputs — arising where input data is sparse, inconsistent, or outside the model's training distribution — must be treated with additional scepticism and should prompt the Credit Officer to seek supplementary documentation before relying on the PD output as a significant factor in the assessment. AI output override procedures are governed by Chapter 3. Override decisions are legitimate exercises of professional judgment and must be documented with the officer's reasoning.

### 4.14 Human Review Framework

Human review is the governance cornerstone of the Bank's credit assessment process. No application is progressed to commitment without documented human review by a qualified officer at the appropriate authority level. The following section defines the specific human review obligations, documentation requirements, and escalation principles that apply across all risk tiers and product types.

#### 4.14.1 Why Human Review is Essential

Human review is essential because credit assessment inherently involves contextual, relational, and situational factors that quantitative models cannot fully capture. A Credit Officer reviewing a complete application file can identify: inconsistencies between declared and evidenced financial information; circumstances that contextualise apparently adverse credit history indicators; industry-specific knowledge that qualifies a sector risk assessment; and qualitative signals of borrower reliability or concern that fall outside model input variables. These contributions are not residual or redundant — they are a structurally necessary component of responsible credit assessment.

#### 4.14.2 Additional Document Requests

A Credit Officer may request additional documentation at any stage of the assessment process where the existing documentation is incomplete, inconsistent, ambiguous, or insufficient to support a confident professional assessment. Acceptable grounds for additional document requests include: income documentation that does not cover the required assessment period; bank statements showing material outflows that are not explained by declared obligations; credit bureau information that requires applicant clarification; and any declared information that cannot be verified from primary sources.

Additional document requests must be communicated to the applicant in writing, specifying the documents required and the reason for the request. The response period is specified in the applicable Product Credit Policy. Applications where required additional documentation is not received within the response period are placed in abeyance and may be declined for documentary non-compliance.

#### 4.14.3 Handling Conflicting Information

Where the credit assessment file contains information from different sources that is materially inconsistent — for example, where declared income differs significantly from bank statement evidence, or where the credit bureau report conflicts with the applicant's statement of existing obligations — the Credit Officer must not proceed with the assessment by selecting the more favourable interpretation. The conflict must be identified, documented, and resolved through one of the following mechanisms: obtaining

additional documentation that clarifies the conflict; seeking a written explanation from the applicant and assessing its plausibility; or escalating the conflict to the Senior Credit Analyst or Credit Manager where the resolution requires professional judgment beyond the Loan Officer's authority.

#### **4.14.4 Escalation Procedures**

The following circumstances require mandatory escalation beyond the initial assessing officer, regardless of the AI risk tier assigned:

- Any application from a borrower with a prior bankruptcy or formal insolvency event in their credit history, regardless of recency.
- Any application where income source diversity or stability cannot be reliably assessed from available documentation.
- Any application where material information conflicts cannot be satisfactorily resolved at Loan Officer level.
- Any application where the assessing officer identifies potential fraud indicators or inconsistencies suggestive of deliberate misrepresentation.
- Any application where the proposed facility structure is atypical relative to the Bank's standard product terms and the deviation is not covered by the applicable Product Credit Policy.
- Any application where the Credit Officer's professional assessment diverges materially from the AI risk tier in either direction.



## 4.15 Evidence-Based Decision Making

Every credit decision made under this Framework must be grounded in documented evidence. Evidence-based decision making requires that each material conclusion in the credit assessment — each finding about income, employment, credit history, affordability, and loan structure — is traceable to specific documentation in the credit file that supports that conclusion.

The standard of evidence-based decision making means:

- No approval may be based on factors the Credit Officer believes to be true but cannot evidence from the application file.
- No decline may be based on adverse impressions or subjective assessments that are not grounded in documented file evidence.
- Where the Credit Officer's professional judgment leads them to a conclusion that the evidence partially supports but does not fully establish, the basis for that judgment must be explicitly documented, including an acknowledgment of the evidential limitations and the professional reasoning applied to resolve them.
- AI-generated outputs are evidence to be considered; they are not evidence that substitutes for documentary verification of income, employment, or obligations.

**Example — Evidence-Based Reasoning Documentation:** *A Credit Officer recommends approval of a Tier 2 medium-risk application. The credit assessment memorandum states: 'Notwithstanding the medium PD classification assigned by the AI Decision Support System, which the XAI Module attributes primarily to the applicant's elevated revolving credit utilisation, the verified income documentation, two-year employment stability record, and consistent mortgage repayment conduct over the same period support a professional judgment that the applicant's default risk is at the lower end of the medium tier. The revolving utilisation, while elevated, reflects a known consolidation event confirmed in the applicant's written explanation and corroborated by the bank statements. The recommendation to approve is based on verified income, confirmed employment stability, and evidenced positive secured credit conduct, subject to the conditions specified in Section 5 of this memorandum.' This level of documented reasoning satisfies the Bank's evidence-based decision making standard.*

## 4.16 Documentation Standards

The documentation standard applicable to each credit assessment must be proportionate to the complexity, size, and risk profile of the application. The following minimum documentation standards apply across all applications processed under this Framework:

| Document Type                           | Minimum Content Requirements                                                             | Retention Period            |
|-----------------------------------------|------------------------------------------------------------------------------------------|-----------------------------|
| Credit Application Form                 | Complete applicant details; declared purpose; signed and dated                           | Life of facility + 7 years  |
| Income Verification File                | Source documents; verification checklist; officer attestation                            | Life of facility + 7 years  |
| Credit Bureau Report                    | Full bureau report; retrieval date; officer review notation                              | Life of facility + 7 years  |
| Standard Credit Review Checklist        | All checklist items completed; officer signature; date                                   | Life of facility + 7 years  |
| Credit Assessment Memorandum (Tier 2/3) | Financial summary; risk analysis; AI output assessment; recommendation; countersignature | Life of facility + 10 years |

| Document Type               | Minimum Content Requirements                                                              | Retention Period            |
|-----------------------------|-------------------------------------------------------------------------------------------|-----------------------------|
| Decline Notification Letter | Primary decline reason; plain-language explanation; appeal/complaint process reference    | 10 years from date of issue |
| Exception Approval Record   | Exception details; justification; approval authority; conditions imposed                  | Life of facility + 10 years |
| AI Decision Support Record  | PD score; risk tier; XAI summary; policy retrieval citations; officer review confirmation | 10 years                    |

**Policy Note:** Documentation standards are minimum requirements. Credit Officers and Analysts are encouraged to include supplementary documentation in the credit file wherever it supports a more complete evidentiary record of the assessment. The credit file is the definitive record of the Bank's credit decision; it must be capable of standing alone as evidence of the assessment quality without reference to the officer's personal recollection.

## 4.17 Decision Quality Assurance

Decision Quality Assurance (DQA) is the structured programme through which the Credit Risk Management Department, Compliance Department, and Internal Audit function independently verify that credit assessments conducted under this Framework meet the required standard of professionalism, policy adherence, and documentary completeness.

| QA Activity                   | Description                                                                                          | Frequency                    | Responsible Party      |
|-------------------------------|------------------------------------------------------------------------------------------------------|------------------------------|------------------------|
| Random File Review            | Random sample of approved and declined files assessed for policy adherence and documentation quality | Monthly (10% sample minimum) | Credit Risk Management |
| AI Override Review            | Review of all cases where officer overrode AI recommendation; assess rationale quality               | Monthly                      | Chief Credit Officer   |
| Exception Register Review     | Review of all approved policy exceptions; trend analysis; escalation if volumes elevated             | Monthly                      | Compliance Department  |
| Portfolio Performance Linkage | Track performance of approved facilities back to originating officer and analyst                     | Quarterly                    | Credit Risk Management |
| Peer Review (Complex Cases)   | Second analyst review of credit memoranda for facilities above defined size thresholds               | Per transaction              | Senior Credit Analyst  |

| QA Activity                       | Description                                                    | Frequency | Responsible Party        |
|-----------------------------------|----------------------------------------------------------------|-----------|--------------------------|
| Annual Credit Certification Audit | Verify all credit authority holders hold current certification | Annual    | Human Capital Management |

DQA findings are reported to the Chief Credit Officer on a monthly basis and presented to the Board Credit Committee on a quarterly basis. Systematic or material DQA findings — including evidence of consistent documentation shortfalls, inappropriate use of AI outputs, or patterns of inadequately documented overrides — are escalated to the Chief Risk Officer and may trigger a mandatory remediation programme for the affected credit function or individual officers.

## 4.18 Enterprise Risk Monitoring

Enterprise risk monitoring in the credit assessment context refers to the ongoing surveillance of the Bank's credit origination activity, portfolio quality, and assessment process compliance. It operates at both the portfolio level — tracking the aggregate risk profile of approved credit — and the process level — tracking adherence to the assessment standards defined in this Framework.

| Monitoring Activity                  | Frequency         | Responsible Party            | Output                             |
|--------------------------------------|-------------------|------------------------------|------------------------------------|
| Portfolio credit quality dashboard   | Monthly           | Credit Risk Management       | NPL ratio; tier distribution       |
| Sector concentration report          | Monthly           | Credit Risk Management       | Exposure by sector vs. limits      |
| AI model performance indicators      | Monthly/Quarterly | AI Governance & Analytics    | Gini; PSI; override rate           |
| Early Warning Indicator sweep        | Weekly            | Credit Operations            | EWI flag report to Credit Managers |
| Assessment process compliance review | Quarterly         | Internal Audit               | Audit findings report              |
| Annual portfolio stress test         | Annual            | Credit Risk Management + CRO | Board Risk Committee report        |

The monthly portfolio credit quality dashboard is the primary management information tool for the Chief Credit Officer's oversight of credit risk at the portfolio level. It presents the current non-performing loan ratio, the distribution of approved facilities across risk tiers, sector and product concentration metrics, and early warning indicator counts. Where any dashboard metric approaches a risk appetite threshold defined in Chapter 2, the Chief Credit Officer is required to convene a Credit Risk Management review within five business days.

## 4.19 Internal Controls

The credit assessment process operates under a framework of internal controls designed to ensure that the standards established in this chapter and in the applicable Product Credit Policies are consistently applied. The principal internal controls applicable to the credit assessment process are:

- **Segregation of Duties** — The officer who conducts the income and financial assessment for an application does not hold the commitment authority for that application. Commitment authority is exercised by a separate officer at the appropriate Delegation of Authority tier, as defined in Chapter 1.
- **Four-Eyes Principle for Complex Cases** — Medium-risk and high-risk applications, and all applications for facilities above defined size thresholds, require review and countersignature by a second qualified officer before the credit file proceeds to commitment authority.
- **Mandatory Checklist Completion** — No application may proceed to commitment authority without a completed Standard Credit Review Checklist (for Tier 1 applications) or a completed Credit Assessment Memorandum (for Tier 2 and Tier 3 applications). The completeness of these documents is verified by the Credit Manager before commitment.
- **System Access Controls** — Access to the AI Decision Support System, the credit origination system, and the Decision Audit Register is governed by the role-based access controls defined in

Chapter 3. Credit authority holders may only access the system functions appropriate to their authority tier.

- **Exception Registration** — All approved exceptions to standard credit policy are registered in the Exception Register maintained by the Compliance Department. Exceptions are individually approved by the Credit Manager or Chief Credit Officer as applicable, and are reported monthly to the Board Credit Committee.
- **Conflict of Interest Declaration** — Credit Officers must declare any personal, family, or financial relationship with an applicant or their connected parties before conducting or contributing to an assessment. Declared conflicts result in mandatory recusal, as governed by Chapter 2.
- **Independent Audit** — Internal Audit conducts quarterly independent testing of the credit assessment process, sampling completed credit files against the documentation and process standards of this Framework. Audit findings are reported to the Audit Committee and are responded to by the Credit Risk Management Department within defined remediation timeframes.

## 4.20 Continuous Improvement

The credit assessment framework is a living governance document. It is reviewed and updated to reflect institutional learning, changes in the regulatory environment, evolution of the Bank's product portfolio, developments in AI capability, and findings arising from Decision Quality Assurance, Internal Audit, and portfolio performance monitoring.

The following mechanisms support continuous improvement of the credit assessment framework:

- **Annual Framework Review** — This chapter is reviewed annually by the Credit Risk Management Department and the Chief Credit Officer. The review incorporates findings from the year's DQA programme, Internal Audit reports, portfolio performance data, and regulatory developments. Proposed amendments are submitted to the Chief Risk Officer for approval and, where material, to the Board Credit Committee for ratification.
- **Officer Feedback Programme** — Credit Officers and Credit Analysts are encouraged to submit formal feedback on the practical usability of the assessment framework, the relevance and quality of AI-generated outputs, and any process steps that appear to impede efficient and high-quality assessment. Feedback is reviewed quarterly by the Credit Risk Management Department.
- **AI Model Performance Integration** — Findings from the quarterly AI Model Performance review (governed by Chapter 3) are incorporated into the annual framework review, ensuring that the assessment process standards remain calibrated to the actual performance characteristics of the deployed AI systems.
- **Regulatory Horizon Scanning** — The Compliance Department conducts ongoing horizon scanning for regulatory developments relevant to credit assessment standards, responsible lending obligations, and AI governance in financial services. Material regulatory developments are communicated to the Credit Risk Management Department and incorporated into the Framework on an event-driven basis where required.
- **Industry Benchmarking** — The Chief Credit Officer, in conjunction with the AI Governance and Analytics Department, periodically reviews industry developments in credit assessment methodology and responsible lending practice to assess whether the Bank's framework remains consistent with evolving professional standards.

## 4.21 Enterprise Credit Assessment Workflow

The following table provides the authoritative end-to-end credit assessment workflow applicable to all applications processed under this Framework. Each stage is mandatory. No stage may be bypassed or condensed below its minimum requirements without formal exception approval from the Chief Credit Officer.

| Step | Stage                    | Actions Required                                                                            | Responsible Party                    |
|------|--------------------------|---------------------------------------------------------------------------------------------|--------------------------------------|
| 1    | Application Received     | Log application; assign reference number; issue receipt confirmation                        | Credit Operations                    |
| 2    | Document Verification    | Verify completeness of submitted documentation; request outstanding items                   | Loan Officer                         |
| 3    | Identity Verification    | Confirm applicant legal identity; cross-check address; conduct fraud screening              | Loan Officer + Compliance            |
| 4    | Financial Assessment     | Verify income; compute DTI; assess affordability; review credit bureau report               | Loan Officer + Credit Analyst        |
| 5    | AI Risk Prediction       | Submit verified data to AI DSS; receive PD estimate and risk tier; review XAI summary       | Loan Officer (AI DSS automated)      |
| 6    | Policy Retrieval         | RAG engine retrieves applicable internal policy sections; officer reviews policy guidance   | AI DSS (RAG) + Loan Officer          |
| 7    | Credit Analyst Review    | Holistic file review; qualitative assessment; credit memorandum preparation (Tier 2 and 3)  | Senior Credit Analyst                |
| 8    | Decision Recommendation  | Form preliminary credit recommendation; document reasoning; note any exceptions             | Senior Credit Analyst / Loan Officer |
| 9    | Final Approval Authority | Review complete file; exercise commitment authority; sign off or escalate                   | Credit Manager / CCO (as applicable) |
| 10   | Applicant Notification   | Issue formal approval, conditional approval, or decline notification                        | Credit Operations / Loan Officer     |
| 11   | File Archival            | Complete credit file archived in Decision Audit Register; all documents retained per policy | Credit Operations                    |

### 4.21.1 Workflow Timing Standards

The maximum elapsed time permitted for each stage of the credit assessment workflow is defined in the applicable Product Credit Policy and the Bank's Customer Service Standards. Where a stage is delayed by pending documentation from the applicant, the delay clock is suspended from the date of the documentation request to the date of receipt. Applicants are informed of expected assessment timelines at the point of application submission, and are notified of any extension to those timelines within the timeframe specified in the Customer Service Standards.

### 4.21.2 Workflow Integrity

The integrity of the credit assessment workflow is protected by the requirement that each stage completion is recorded in the credit origination system before the next stage commences. Completion records are time-stamped and attributed to the responsible officer. The Credit Operations function monitors workflow stage completion metrics on a weekly basis and escalates any systemic delays to the Credit Manager for investigation.

**Policy Note:** *The workflow stages defined above represent the universal minimum. Individual Product Credit Policies may specify additional stages, supplementary documentation requirements, or product-specific assessment components at any point in the workflow. Such product-specific additions do not override the universal stages — they supplement them.*

## 4.22 Chapter Summary

Chapter 4 of the Stratum Capital Bank Enterprise Governance & Risk Framework has established the Enterprise Credit Risk Assessment Framework — the standardised, institution-wide methodology governing how creditworthiness is evaluated for all loan applicants across all product types and client segments. The following foundational standards are binding on all credit-related staff:

- The purpose of credit risk assessment: protecting borrowers from over-indebtedness, maintaining portfolio integrity, ensuring institutional soundness, and satisfying regulatory compliance.
- The Enterprise Credit Assessment Philosophy: multi-dimensional evaluation, evidence-based reasoning, non-substitutable professional judgment, structural fairness, and transparency of documented reasoning.
- Seven Responsible Lending principles: conservative lending, sustainability of repayment, fair lending, risk diversification, customer affordability, financial sustainability, and long-term repayment capacity.
- The Customer Financial Assessment covering ten assessment dimensions — identity, income, employment, credit history, existing debt, affordability, loan structure, collateral, financial behaviour, and financial resilience — each with defined evidential requirements.
- Income Assessment standards requiring verified documentation for all income sources, income stability assessment, and conservative treatment of multi-source income profiles.
- Employment Assessment covering stability indicators, contract nature, sector stability, and employment history review proportionate to facility term.
- Credit History Assessment encompassing credit bureau report review, adverse event analysis, revolving credit utilisation, revolving credit conduct, and mortgage account behaviour.
- Existing Debt Assessment requiring construction of a complete obligation profile, computation of the Debt-to-Income Ratio inclusive of the proposed facility, and assessment of obligation quality.
- Affordability Analysis integrating residual income calculation, stress testing, and financial resilience assessment into a holistic professional determination.
- Loan Structure Assessment covering purpose, amount, repayment term, and interest rate structure as independent dimensions of structural appropriateness.
- Financial Behaviour Indicators providing qualitative assessment of account conduct, savings patterns, and information consistency.
- AI-Assisted Risk Assessment — integrating the PD prediction, XAI summary, RAG policy retrieval, and confidence indicators as analytical tools subject to human review and validation obligations under Chapter 3.



- The Human Review Framework defining why human review is essential, the standards for additional document requests, conflict resolution procedures, and mandatory escalation triggers.
- Evidence-Based Decision Making standards requiring that all material credit conclusions are traceable to specific documented evidence.
- Documentation Standards defining minimum content requirements and retention periods for eight categories of credit assessment documents.
- Decision Quality Assurance through six structured review activities conducted by Credit Risk Management, Compliance, and Internal Audit.
- Enterprise Risk Monitoring through six monitoring activities covering portfolio quality, AI model performance, and assessment process compliance.
- Seven internal controls: segregation of duties, four-eyes principle, mandatory checklist completion, system access controls, exception registration, conflict of interest declaration, and independent audit.
- Continuous improvement through annual framework review, officer feedback, AI performance integration, regulatory scanning, and industry benchmarking.
- The eleven-stage Enterprise Credit Assessment Workflow from application receipt through file archival, with defined responsible parties and workflow integrity requirements.

This chapter, in conjunction with Chapters 1, 2, and 3, provides the complete enterprise governance foundation for all credit risk assessment activity at Stratum Capital Bank. Product Credit Policies, the Credit Risk Management Manual, and the Loan Policy Manual are derived from and must be consistent with the principles and standards established herein.

— End of Chapter 4 —